EXECUTIVE SUMMARY

1. Introduction

The Municipality of Lasam, Province of Cagayan was once part of the town of Gattaran, It became a town through a bill introduced by Congressman Paulino Alonzo of the 2nd District of Cagayan. It was named after the late Governor Hilario Lasam and was inaugurated on July 1, 1952. Lasam is now classified as a third (3rd) class municipality. It is composed of thirty (30) barangays.

The enactment of Republic Act 7160, otherwise known as the Local Government Code of 1991 extend powers of the LGU's to include not only the ability to create other sources of funds but also gives them total independence in planning, managing and deciding its own administrative and financial affairs in conformity with the national government trust of sustainable social and economic development.

2. Financial Highlights

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2020, were P482,214,753.54, P72,181,102.09 and P410,033,651.45, with an increase of 22.89%, 27.47% and 22.12%, respectively, from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P183,835,708.00 and P127,067,025.59, which increased by 23.71% and 12.37%, respectively, from last year's figures.

Particulars	2020	2019	Increase(Decrease)	
			Amount	Percentage
Financial Position				
Assets	P482,214,753.54	P392,391,868.27	P89,822,885.27	22.89%
Liabilities	72,181,102.09	56,626,917.52	15,554,184.57	27.47%
Govt. Equity	410,033,651.45	335,764,950.75	74,268,700.70	22.12%
Financial Performance				
Income	P183,835,708.00	P148,599,744.45	P35,235,963.55	23.71%
Expense	127,067,025.59	113,078,423.16	13,988,602.43	12.37%
Appropriations, Allotments and Obligation				
Appropriations	P144,400,000.00	P115,730,000.00	P28,670,000.00	24.77%
Allotments	144,400,000.00	115,730,000.00	28,670,000.00	24.77%
Obligations	122,835,670.14	98,056,221.06	24,779,449.08	25.27%

Comparative Statement of Fund Transfers to and from NGAs, NGOs and POs

Particulars	2020	2019	Increase/(Decrease)
Fund Transferred to Other Agencies:			
Due from NGAs	P 1,467,430.00	P 938,600.00	P 528,830.00

Due from GOCCs	-	-	-
Due from LGUs	4,639,126.02	4,693,461.58	(54,335.56)
Due from NGOs/POs	193,319.10	193,319.10	-
Others	-	-	-
TOTAL	**P 6,299,875.12**	**P 5,825,380.68**	**P 474,494.44**
Fund Received from Other Agencies:			
Due to NGAs	P 26,639,017.51	P 12,276,635.95	P 14,362,381.56
Due to GOCCs	76,979.47	252,053.85	(175,074.38)
Due to LGUs	1,065,082.77	9,399,730.45	(8,334,647.68)
Due to NGOs/POs	-	-	-
Others	-	-	-
TOTAL	**P 27,781,079.75**	**P 21,928,420.25**	**P 5,852,659.50**

3. Independent Auditor's Opinion on the Financial Statements

We rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Lasam, Cagayan as at December 31, 2020 due to the following:

1. The accuracy, validity and existence of Property, Plant and Equipment (PPE) with a net carrying amount of P296,120,248.70 as at December 31, 2020, representing 61% of total assets which increased from last year's ending balance by P53,303,246.30 (22%), could not be ascertained due to failure of the agency to conduct an annual physical inventory of the properties which is contrary with the existing rules and regulations prescribed under Section 156 of COA Circular No. 92-386 and Section 266 of the Government Accounting Manual (GAM) for Local Government Units.

2. The balance of the Road Networks amounting to P86,367,851.02, which represents 29% of total Property, Plant and Equipment as of December 31, 2020, could not be relied upon due to improper accounting and reporting on local road asset management embodied in COA Circular No. 2015-008, thus impairing the accuracy and validity of the LGU's road networks account.

4. Summary of Significant Audit Observations and Recommendations

The findings and recommendations were discussed with LGU officials and employees. Management comments were incorporated in the report, where appropriate. The significant findings and recommendations are as follows:

1. The accuracy, validity and existence of Property, Plant and Equipment (PPE) with a net carrying amount of P296,120,248.70 as at December 31, 2020, representing

61% of total assets which increased from last year's ending balance by P53,303,246.30 (22%), could not be ascertained due to failure of the agency to conduct an annual physical inventory of the properties which is contrary with the existing rules and regulations prescribed under Section 156 of COA Circular No. 92-386 and Section 266 of the Government Accounting Manual (GAM) for Local Government Units.

We recommended that the Inventory Committee conduct physical inventory of the properties of the municipality and to prepare a report thereon to be submitted to the Municipal Accountant for reconciliation with that of the accounting records. Submit the same to the auditor concerned pursuant to COA Circular No. 92-386 dated October 20, 1992, Section 266 of the GAM for LGUs and Section 122 of P. D. 1445.

2. The balance of the Road Networks amounting to P86,367,851.02, which represents 29% of total Property, Plant and Equipment as of December 31, 2020, could not be relied upon due to improper accounting and reporting on local road asset management embodied in COA Circular No. 2015-008, thus impairing the accuracy and validity of the LGU's road networks account.

   To fairly present the book value of the Road Networks account in the Financial Statements of the Municipality, we recommended that the Municipal Mayor direct the:

   1. GSO and the Municipal Engineer to conduct the physical inventory on the Local Road Network to come up with the Inventory Report on the Local Road Network.

   2. GSO and the Municipal Engineer to evaluate the Local Road Inventory Report and reconcile with the accounting records to facilitate the reporting of the municipality's road network system;

   3. Municipal Accountant to adjust the books for discrepancies noted, prepare the Local Road Network Ledger Card and maintain separate subsidiary ledger for the roads and its components.

   4. Municipal Engineer to provide the Municipal Accountant and the GSO with the complete description and cost segregation of the road components for road project.

   5. The Municipal Assessor for the costing of the land where the local road networks were erected.

3. Fourteen (14) Lots valued at P11,098,526.15 were not supported with Certificate of Title in the name of the Municipal Government of Lasam contrary to Section 39 of Presidential Decree No. 1445, Section 148 of COA Circular No. 92-386 dated October 20, 1992 and Section 449 of Government Accounting and Auditing Manual (GAAM) Volume I, thus the interest of the government was not fully protected.

   We recommended that the Local Chief Executive instruct the Municipal Assessor to exhaust all possible means to document the legality of ownership of the lots through a Certificate of Title in the name of the Municipal Government of Lasam to fully protect their interest pursuant to Section 39 of Presidential Decree No. 1445, Section 148 of COA Circular No. 92-386 dated October 20, 1992 and Section 449 of Government Accounting and Auditing Manual (GAAM) Volume I. Also, ensure that a budget shall be allocated for this purpose.

4. Procurements of goods and equipment with total cost of ₱10,452,345.59 through Emergency Procurement under Republic Act (RA) No. 11469 were paid despite the absence of notarized Omnibus Sworn Statement (OSS), not in accord with the Guidelines for Emergency Procurement under RA No. 11469 or the Bayanihan to Heal as One Act as prescribed by the GPPB in its Circular 01-2020 dated April 6, 2020.

   We recommended that Management strictly adhere with the rules and regulations governing procurement to fully protect the interest of the agency. We further recommended that Management direct the Accounting to ensure that all documentary requirements are fully complied with before processing the payment, and require the concerned suppliers to immediately submit the notarized Omnibus Sworn Statement, in compliance with the Guidelines for Emergency Procurement under RA No. 11469 or the Bayanihan to Heal as One Act prescribed by the GPPB in its Circular 01-2020 dated April 6, 2020.

5. Purchased drugs and medicines, medical/dental/laboratory supplies costing P2,201,950.00 were taken up as outright expenses instead of inventories which were not in conformity with existing rules and regulations, hence, the affected accounts were not presented fairly in the books of accounts of the LGU.

   We recommended that the Municipal Accountant take up the drugs and medicines, medical/dental/laboratory supplies for distribution as inventories upon purchase/receipt thereof and the corresponding expense accounts only upon distribution to present fairly the accounts in the books of the LGU for the benefit of all users of the information. Correspondingly, she should prepare and submit

journal entry vouchers (JEVs) taking up adjustments for the undistributed of the same, if any.

5. Summary of Total Suspension, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	764,200.45	-	84,560.00	679,640.45	11.07%
Current Year	-	-	-	-	-
Total	**764,200.45**	-	**84,560.00**	**679,640.45**	**11.07%**
Disallowances					
Prior Years	16,837,265.69	552,115.80	437,869.36	16,951,512.13	2.52%
Current Year	-	-	-	-	-
Total	**16,837,265.69**	**552,115.80**	**437,869.36**	**16,951,512.13**	**2.52%**
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

6. Status of Implementation of Prior Year's Audit Recommendations

Out of fifteen (15) audit recommendations contained in the Annual Audit Report for CY 2019, seven (7) were fully implemented, six (6) were partially implemented and the remaining two (2) were not implemented as at year-end.